

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 23-02

BED BATH & BEYOND, INC.
v.
ORIENT OVERSEAS CONTAINER LINE LIMITED
AND OOCL (EUROPE) LIMITED

**MOTION FOR LEAVE TO FILE A REPLY AND
REPLY IN SUPPORT OF MOTION FOR RECONSIDERATION**

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, respectfully submit this Motion for Leave to File a Reply and Reply in Support of Motion for Reconsideration of the Presiding Officer’s Order of August 23, 2024, insofar as it granted the motion of Complainant Bed Bath and Beyond’s (“Complainant” or “BBBY”) motion for leave to file an amended complaint.¹

MOTION FOR LEAVE TO FILE REPLY

To the extent necessary, Respondents respectfully request leave to file a reply in support of their motion to reconsider. The Presiding Officer’s Order of August 23, 2024, granting Complainant the right to amend the Complaint is case-dispositive. Under the FMC’s Rules, a dispositive motion is one that involves a decision on the pleadings. 46 C.F.R. § 502.69(g). A dispositive motion entitles the filing party to a reply in support of the motion. *Id.* § 502.70(c).

¹ Just as Respondent was preparing to file the instant Reply as of right under Commission Rule 69 which provides 7 days to file a reply to a dispositive motion, the Presiding Officer issued an Order effectively premitting the Reply before those 7 days had elapsed. Respondent files it anyway to ensure a complete record for the Commission and the courts.

Here, the motion to reconsider the Order permitting BBBY to amend the Complaint is dispositive as it involves a decision on Complainant's pleadings and the relief sought by Respondents is effectively a dismissal of Complainant's retaliation claim such that the motion is a "motion for a final determination of . . . part of a proceeding." *Id.* § 502.69(g).

Even if the motion is not considered dispositive, leave should be granted pursuant to 46 C.F.R. § 502.71(c) as extraordinary circumstances exist. The FMC issued new, binding authority four days after the Presiding Officer's August 23 Order, necessitating reconsideration of Respondent's requested amendment. Respondent discussed the FMC ruling in its motion to reconsider, but this reply is necessary to clarify the Complainant's gross misrepresentation that "the Commission's order affirming [its] Initial Decision plainly does not constitute a change in the law." Complainant's Memorandum in Opposition at 4.

REPLY MEMORANDUM IN SUPPORT

Pursuant to 46 CFR § 502.70(c), Respondents will not reargue points made in the motion to reconsider. Rather, this Reply is necessary to respond to Complainant's assertion that the Presiding Officer need not consider the Commission's intervening decision in *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11, slip op. (F.M.C. Aug. 27, 2024). While the FMC's decision affirmed the Initial Decision, the FMC set forth guidance addressing "whether the Commission's prohibition on retaliation extends to a notice of intention to file a case with the Commission," a question described by the Commission as "a novel legal issue." *Id.*, at 30. Complainant's insistence that the Presiding Officer rely only on the Initial Decision and decline to reconsider the requested amendment without being informed by the FMC's decision amounts to an insistence that the Presiding Officer ignore binding precedent.

The FMC issued its 64-page decision in *OJ Commerce* four days *after* the Presiding Officer's August 23 Order permitting Complainant's amendment to add a retaliation claim. The FMC's decision was not a mere or blanket affirmance, but set forth standards that govern claims of retaliation before the FMC. Importantly, that decision makes clear that "notices of an intention to file a case with the Commission will be rare" due to carriers' and shippers' desire to maintain business relationships. *Id.*, at 32-33.

Complainant's is not one of these "rare" cases because Complainant issued no notice of an intention to file a claim with the Commission. Instead because of Complainant's clearly established intention to maintain a business relationship with Respondents, Complainant's putative protected activity falls, at most, within the ambit of "offhand bluster or idle threats." *Id.* at 33. This is clear given Complainant's October 18, 2021 letter to OOCL. *See Confidential Exhibit A—October 18, 2021 Letter*. The letter's demand for a full refund of the detention and demurrage charges, its demand that it be exempt from such charges going forward, and mere passing reference to the "spirit" of the Commission's guidance:

We strongly believe that the actions of your company in assessing the charges in question is not in the spirit of the Federal Maritime Commission's guidance as to what constitute reasonable demurrage and detention practices. Therefore, with Port of Los Angeles/Long Beach congestion forecasted to continue into the foreseeable future, BBB is hereby putting OOCL on notice that we expect to from the date of this correspondence forward be exempt from detention and demurrage charges that are not proven to be caused by our actions, and over which we have no control. Further, we request a full refund of all such charges.

Id. at 1. As if the October letter did not speak for itself, the author even testified that he did not intend it as a threat:

Q: Was it your intention in sending this letter to make any type of threat to OOCL that Bed Bath intended to file a claim with the Federal Maritime Commission?

A: It was not my intent. I think the reason for this letter, from my standpoint, was to, in a sense, almost appeal to all the carriers that we were doing business with, especially someone like an OOCL that we had done business with for a long, long time, to point out, listen, you know, we're not responsible.

. . .

But for me, personally, no, it was never my intent to threaten anything to anybody. It was just calling out something that was of grave concern to us and, you know, a tough situation.

Confidential Exhibit B – Deposition Transcript of Pat Hackett at 64:4-65:15. The same held true for the subsequent February 2022 letter sent by BBY. *See* Confidential Exhibit C – February 9, 2022 Letter to OOCL. When pitched a softball by Complainant's counsel, Mr. Hackett declined to take a swing at characterizing the letters as anything resembling that which may be a predicate for a retaliation claim:

Q: And as of the time that you signed this document, did you believe that this letter demonstrated that Bed Bath & Beyond would consider raising regulatory issues or challenges based on the detention and demurrage issues raised here?

A: I think we – I think we called – we called it out to their attention just to, you know, I guess, maybe just, like I said, looking for some relief, some type of consideration for them just because the expenses and the costs were just mounting with no end in sight.

Confidential Ex. B at 277:20-278:8. Further, the October 2021 and February 2022 letters were essentially form letters sent to all carriers, rather than specific threats directed at Respondent. *See id.* 183:1-4 (“I believe that around that time there might have been other letters similar, because we were having similar issues with the other carriers.”); 64:8-15 (characterizing the October 2021 letter as an “appeal to all the carriers that we were doing business with.”). Such a general “appeal” does not constitute a protected activity.

In *OJ Commerce*, the Commission advised:

The ALJ's decision does not vastly expand the types of retaliation claims the Commission will consider, it only clarified that the category includes formal notices

of an intention to file a case with the Commission, like OJC's notice. Most carriers and shippers want to maintain a business relationship, so notices of an intention to file a case with the Commission will be rare, and rarer still will be the type of abrupt disengagement HSDG pursued here. Further, the Commission affirms the ALJ's decision was appropriate for the facts of this case, which included two formal notices of an intention to pursue legal action. Offhand bluster or idle threats are of a different class. Shippers may feel more emboldened to bring cases where a notice of an intention to file a case with the Commission led to retaliation, but these cases are not prohibited now. Merely publicly reinforcing that the Commission will consider cases like this one, which it could always consider, does not radically alter the Commission's jurisdiction.

OJ Commerce, Docket No. 21-11 (F.M.C. Aug. 27, 2024) at 32-33.

The FMC allowed a limited expansion of the types of retaliation claims that the Commission will consider, which include "formal notices of an intention to file a claim with the Commission." The FMC did not broaden such claims to include "offhand bluster" or "idle threats." Thus, whether Respondents' personnel believed Complainant's complaints amounted to threats does not bear upon whether Complainant's actions amounted to protected conduct. The FMC's decision in *OJ Commerce* holds that alleged actions after "informal" notices that amount only to bluster or idle threats will not give rise to retaliation claims that the Commission will consider, and certainly when the author of the letter did not intend to make a threat by sending it. Put simply, Complainant's October 18, 2021, letter is something even less than an "idle threat." Complainant's February 9, 2022, letter makes no reference to the FMC whatsoever.

CONCLUSION

As shown above, the Commission's *OJ Commerce* decision clarified and narrowed the ALJ's Initial Decision, which is unequivocally relevant to the facts in issue in this case. The failure to reconsider Complainant's motion for leave to amend its Complaint would amount to

clear error in the face of the full Commission guidance offered just days after the Presiding Officer's August 23 Order.

Therefore, for the reasons stated above, the Presiding Officer should reconsider the Order insofar as it granted leave to file an amended complaint and should instead deny Complainant's motion to amend. Should the Presiding Officer decide not to reconsider the Order, Respondents request that she treat this motion as a request for leave to appeal the Order to the Commission.

Dated: September 19, 2024

Respectfully submitted,

/s/ Keith B. Letourneau

Keith B. Letourneau

Rebecca A. Fenneman
JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
700 12th St., NW, Suite 700
Washington, DC 20005
Tel. 202-904-2301
RFenneman@JeffreyFenneman.com

Eric C. Jeffrey
JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
700 12th St., NW, Suite 700
Washington, DC 20005
Tel. 202-904-2301
EJeffrey@JeffreyFenneman.com

Matthew Thomas
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
MThomas@BlankRome.com

Keith B. Letourneau
BLANK ROME LLP

717 Texas Avenue, Suite 1400
Houston, TX 77002
(713) 402-7640
KLetourneau@BlankRome.com

ATTORNEYS FOR RESPONDENTS

CERTIFICATE OF SERVICE

I certify that on the 19th day of September 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020, as follows:

ATTORNEYS FOR COMPLAINANT:

HUTH REYNOLDS LLP

Matthew J. Reynolds
reynolds@huthreynolds.com
7800 Grampian Court
Chesterfield, VA 23838

Carl C. Huth
Huth@huthreynolds.com
41 Cannon Court
Huntington, NY 11743
(212) 731-9333

Gregory A. Crapanzano II
gcrapanazno@huthreynolds.com
809 N. 26 Street
Richmond, VA 23223
(917) 575-3440

/s/Rebecca A. Fenneman
Rebecca A. Fenneman